

Procurement Policy

Document: Procurement Policy

Owner: Procurement Manager

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1. Vendor selection

For purchases above NPR 1,00,000 a minimum of three competitive quotations must be obtained. For purchases above NPR 10,00,000 a sealed-bid tender process is required. Sole-source procurement is permitted only with the CFO's prior written approval and documented justification.

2. Three-way match

Accounts Payable shall not process an invoice for payment unless (a) a Purchase Order, (b) a Goods Receipt Note, and (c) the Vendor Invoice are matched on quantity, rate and total amount. Tolerances: 2% on rate, zero on quantity.

3. Related party purchases

Any procurement from a related party (as defined in the Internal Control Policy) requires **Board approval before order placement** and disclosure in the Related Party Transaction Listing. Three-quote exemption does not apply; an independent benchmark price must be obtained and retained on file.

4. Vendor master

PAN/VAT registration is mandatory for vendor master creation. Procurement shall maintain copies of registration certificates and conduct an annual re-validation.

5. Exceptions

Emergency procurements may be made without prior approval up to NPR 50,000, subject to ratification within 7 working days.

This is a synthetic teaching document. No real entity is referenced. Himal Trading & Manufacturing Pvt. Ltd. is fictional.